

Gambler's Paradise; Why Kalshi Exists, Why it Matters, and How to Manage It
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Abstract

The continued growth of prediction markets in the past few years has created a regulatory gap that has yet to be filled. Following Kalshi's 2024 court victory, the CFTC hasn't taken any meaningful actions to regulate the platform. As Kalshi brought in \$24 billion in trading volume in 2025, and as targeted marketing continues to bring in young customers into entertainment markets that overlap with traditional gambling mediums, prediction markets are becoming increasingly important to provide oversight on.

This paper argues that the CFTC should take regulatory steps to curb potential risks by distinguishing entertainment markets from socially beneficial ones, raising the age of participation to 21, and banning targeted marketing.

We begin by defining prediction markets and tracing their regulatory history. We then analyze their informational benefits and societal risks, before proposing a tiered regulatory approach and evaluating alternative solutions. Kalshi serves as the focal point of our analysis due to its status as the largest prediction market legally operating in the United States, which places it directly within the CFTC's regulatory jurisdiction.

What Prediction Markets Are, and Where They Came From

Prediction markets are forums that host event contracts whose payouts depend on the outcome of a specified event. For most of their history in the United States, they have been small, experimental and largely academic. Kalshi is a CFTC-regulated prediction market where users trade event contracts on a variety of topics.

While to most people prediction markets seem akin to a typical gambling platform, the mechanism of pay and loss is very different. Instead of acting as a bookmaker, prediction markets act as a medium through which people can buy and sell event contracts. The myriad of events, such as entertainment, weather forecasts, politics, sports, and more all entice users to place wagers. Event contracts are valued at \$1, and it reflects the market's prediction for an event. As new information becomes known, users buy and sell these contracts, affecting the overall price. If you buy a contract at 23 cents, it means there's only a 23% chance of the event occurring. As the market settles, the payout naturally swings to \$1 (100% chance) or \$0 (0% chance)^[1]. As these contracts are bought and sold amongst users, winners profit off of the losers.

The idea is old, but the scale is new. The first prediction market in the U.S., the Iowa Presidential Stock Market—now known as the Iowa Electronic Market (IEM)—pioneered the idea of prediction markets and was a center of research on the

effectiveness of prediction markets for forecasting abilities. It received the first real Commodity Futures Trading Commission (CFTC) regulatory notice in 1992. They issued a “no action notice”, meaning that the IEM has implicit permission to continue as a research project. In the following years, prediction markets continued to grow in prevalence.

In 2004, the CFTC approved the first contract market with binary options, Hedge Street Inc., now known as crypto.com. This set the stage for modern binary contract markets like Kalshi. In 2014, PredictIt, the most influential prediction market that hosts political wagers was founded. PredictIt, like the IEM, hosts event-contracts based on the results of political contests. However, in order to receive a similar no-action letter from the CFTC, they cap each trader at \$850 and each market at 5000 traders^[2]. Later, PredictIt gained approval from the CFTC to be a Designated Contract Market (DCM). Metaculus, another prediction market, works with play-money instead of real money in order to host a wider selection of prediction contracts. For example, Metaculus hosts contracts on sports, geopolitics, and medical trials^[2]. Outside the U.S., Polymarket is the largest prediction market. Unlike Kalshi, they have no legal clearance from the CFTC.

Due to the small scale and self-restricting nature of prior prediction markets, the CFTC has taken a permissive approach to regulations. With the rise of Kalshi, the rationale for this lenience breaks down. Kalshi, the dominant prediction market, handled \$23.8 billion in trading volume across 97 million trades in 2025, up

from \$1.9 billion and 5.45 million trades the year before^[3]. By June of this year, 2026, Kalshi’s monthly volume reached \$31 billion^[4]. With at least eight unique sectors of event contracts^[5], Kalshi is effectively the first platform to combine Metaculus’ breadth with PredictIt’s real-money stakes as a DCM. This means that while it exists under historical CFTC guidelines, Kalshi’s scale far surpasses what the CFTC could’ve predicted in 2004 when prediction markets were first regulated.

As a first step to regulating Kalshi, In 2023, the CFTC attempted to prevent Kalshi from hosting political contracts using their legal power under the Dodd-Frank Act (a 2010 act that allows the CFTC to determine if certain contracts are contrary to public interest)^[6]. Kalshi countersued, and in 2024 the case was concluded with a federal judge deciding that the CFTC had not adequately proved that these contracts were contrary to public interest^[7]. Since that ruling, Kalshi has expanded the scope and scale of the event contracts hosted on their site with essentially no updated regulatory framework. We use Kalshi as our lens throughout this paper because it is the largest prediction market platform in the country and already exists under U.S. regulatory jurisdiction as a designated contract market (DCM), making it the most useful platform to build regulation around with a utilitarian framework.

The Utility of Prediction Markets

In order to create a utilitarian framework with which to approach policy suggestions surrounding Kalshi it is

important to analyze both the utility and the risks of prediction markets. To this end, we have identified four noteworthy benefits of prediction markets. These are: 1. High quality prediction data, 2. Resistance to polarization 3. Hedging as a financial instrument, and 4. Social benefits.

Prediction Markets Produce High Quality

As early research into the Iowa Prediction markets showed, there is immense amounts of information that prediction markets are able to amass through the wisdom of crowds^[8]. They first became of interest to experts in data analysis when the first political markets predicted the outcomes of elections more accurately than polls like Gallup^[9]. Experts noted that the Iowa Electronic Markets erred by an average of 1.5 percentage points versus 2.1 percentage points for the final Gallup poll in the 1988, 92, 96, and 2000 presidential elections^[9]. Also, the same data shows that 150 days before the election, the market was only 5 percentage points off on average, whereas polls are normally much further off this far out.

Prediction Markets are Highly Resistant to Manipulation

In 2008, a number of prominent economists pushed for the formal legalization of prediction markets in two papers; firstly, the above-mentioned policy forum paper titled “The Promise of Prediction Markets” details how the free market manages the process of equal participation and analysis^[9]. Increased participation in markets was not only found

to improve accuracy but also strengthen them against manipulation. In a paper sent to the CFTC by expert economists, they argued that these markets are resilient against manipulation^[10]. According to Scott Alexander, prediction markets can never be manipulated because everyone has an interest in maintaining an edge^[2]. Say a malicious actor or group buys contracts in an attempt to manipulate the market. Keen forecasters would quickly notice this discrepancy and buy up contracts to correct the manipulation. As such, the market would quickly be corrected, hampering any attempt at manipulation, assuming sufficient market participation.

Prediction Markets are a Financial Instrument to Hedge against Risk

In recent years using prediction markets as a medium of hedging has become more common in industries sensitive to rapid changes. For example, if a prediction market exists for the number of fish caught in the month of May, a fishing company can place a bet on the ‘under’ on the market, despite hoping that they go over the amount. Either way, they have ‘hedged’ risk using a prediction market, while traditional insurance may not cover this at all. While strange, this is a real case being utilized by Kalshi right now. In California, there exists a legislation that allows temporary rotating workers to be paid a smaller amount. This legislation recently expired, which affects a grazing company called Western Grazers, which uses goats and workers to graze fire-prone land. Under the legislation, the business is economical. Now that it expired,

even though most believe that it will be reinstated, the company is in a hole where they cannot afford to function. In order to keep the company afloat, they made a 10x 50000 bet on Kalshi against a fund that the rule will not be reinstated. If the rule is re-instated, the fund makes money. If the rule isn't, Arrowsmith at least makes enough money on the wager to survive as a business another year^[11].

Prediction Markets can be to the Benefit of Society

The predictive nature of prediction markets is highly utilizable for public good, given that the methods behind it are well-meaning. Replication markets in science have become more common, and it has the potential to be used in public works as well^[12]. For example, public services can create a market for an upcoming project to see what people actually want to happen. Two projects can have markets open up with the contract centered around which is most likely to be finished.

In a subsequent dual market, the project with the most “yes” contracts would move forward, with the latter market being refunded^[2]. These markets serve as a democratic way of sourcing opinion rather than the common way of polling, which many people may not believe in, or punditry, which people are losing faith in due to the rise of fake news and bought-out public voices. In this case, prediction markets can also incentivize pundits and politicians to be more honest. Markets can open up around “will X’s said promise/prediction come true

by 20XX”, highlighting trust in public figures better than a poll ever will.

The Risks of Prediction Markets at Scale

Alongside the utility of prediction markets, there exist a number of potential societal risks that should be understood. To this end, we have identified three noteworthy risks that support the need for more interest in legislating prediction markets as a whole.

Prediction Markets as a Substitute for Gambling

The first risk we have identified is gambling. Cornell Law defines gambling as risking something of value - like money - on a chance outcome that is out of their control or influence with the understanding that they will either gain or lose the original value^[13]. Many of Kalshi’s contracts like the outcome of a sports match or an album’s first week sales fit this broader definition more naturally than they fit the concept of an “event contract”. Ordinary gambling and event contracts are not as mutually exclusive as some would argue. Even if the structure of the bet is different to a traditional gambling setup between the bettor and the house such as in casinos or online sports-betting, the essence of the act is the same. There is an important distinction between event-contracts with genuine informational value, such as political or macroeconomic markets, and event-contracts more akin to gambling, like sports.

Prediction Markets as a Vessel for Social Manipulation

The second concern is social manipulation. In its own filing against Kalshi, the CFTC cited a 2017 case in which a fabricated poll showing musician Kid Rock leading Senator Debbie Stabenow caused Stabenow's PredictIt contract value to drop from 78 cents to 63 cents before settling at 70 cents^[7]. If a fabricated poll can so significantly affect the contract value in a market like PredictIt, it stands to reason that there ought to be a reasonable concern that in a larger-scale market with more social reach like Kalshi, a bad actor has a direct financial incentive to engage in the spread of fake news or inflammatory comments. Largely, before Kalshi, there has never been a more direct link between the spread of misinformation and economic returns. This has the potential to exacerbate existing political polarization, fears from citizens surrounding the validity of news, and a general belief in the honest word in the United States. Even further, a bad actor may not even be in the United States; take, for example, a foreign individual or country invested in the results of an American election. There is no social contract strong enough to truthfully prevent this at the scale it has the potential to be abused on. This risk is important to understand in order to holistically comprehend prediction markets as a whole.

The Outsized Risk of Insider Trading in Prediction Markets

The third risk we have identified is the risk of insider trading. Traditional markets have much more pronounced and visible guidelines and corresponding enforcement. In the stock market, the SEC is involved in mitigating the risk of insider trading. In the NFL or NBA, the organizations themselves are involved in preventing players from trading on games. Kalshi lacks both an outside organization to prevent insider trading and an internal reputation for preventing insider trading. Kalshi has been involved in mitigating insider trading, such as when they suspended an account relating to the California governor race. The individual placed a bet on their own candidacy, then released a social media post relating to their candidacy^[14]. While Kalshi was proactive, their scope and legal strength may be limited in these situations. It stands to reason that Kalshi itself may not be entirely capable of handling all realms of insider trading as well as with support of legislation.

Our Policy Suggestions

Our Thoughts on Existing Legislation

An educated reader involved in learning about prediction markets may already be aware of the Prediction Market Act of 2026, a bipartisan bill intended to protect consumers from prediction markets^[15]. This bill, as it stands, is an incredibly important stepping stone towards holistic regulation of Prediction Markets. The bill outlines steps towards banning political insider trading, and strengthening financial safeguards. It also discusses

creating an ‘Office of the Retail Advocate’ to protect consumers and an ‘Advisory Council on Consumer Protection’ to strengthen oversight on prediction markets. These steps are all incredibly important, and to some extent tackle the issues we discussed as risks of prediction markets at scale. At the same time, however, we strongly believe that there is more that can be done towards protecting consumers involved in prediction markets. To that end, we have outlined our policy suggestions below.

Our policy suggestions target different parts of Kalshi’s platform with varying levels of prejudice based on societal need, general utility, as well as gambling implications. There are three main parts to our policy suggestions: 1. We believe that certain sectors of Kalshi’s markets should be regulated as gambling due to similarities to existing gambling sites and market inefficiencies. 2. Similar to existing sites that host these contracts, Kalshi should be regulated to a minimum age of 21 due to overlap with state laws and general wellbeing. 3. Kalshi should be banned or restricted from marketing to underage consumers.

Specific Sectors of Kalshi’s Market should be regulated as gaming by the CFTC

Firstly, we believe that Kalshi’s markets should be generally regulated differently for different sectors; for example, we understand that the sports portion of Kalshi’s platform is vastly different in volume and utility in comparison to the

crypto, politics, or finance sections.

Therefore, we believe the CFTC should involve themselves mainly in regulating or specifying certain types of contracts as gaming, just as they did in the original case. Two years after the CFTC case, it is clear that Kalshi is in a much different position. Originally the CFTC lost because it was unable to prove that the political contracts constituted gaming - we agree with this statement to a certain extent because we understand that money is inherently tied to politics. Bad actors may exist, but they largely exist beyond the scope of almost any regulation. Legally preventing fake news, inflammatory posts, or any other sort of influential spread of ideas is very difficult without infringing on freedom of speech.

In his paper, Microstructures of Wealth Transfers, Jonathan Becker offers more significant clarification and statistical analysis on the various categories offered^[5]. He says that Politics and Finance are statistically more efficient markets. Finance is only off by 0.17 percentage points, while politics is off by 1.02 percentage points. A statistically efficient market is more useful for data science and other utilitarian uses of prediction markets stated above. Therefore, these markets should be regulated differently. On the other hand, markets like World News, Media, Entertainment, and Sports, are all significantly more inefficient, leading us to conclude that they simultaneously provide less utility, while also bearing a more striking resemblance to traditional gambling. World News and Media have a staggering 7.32 and 7.28 percentage point differential from true efficiency. Entertainment is at 4.79 and

Sports is at 2.23. These gaps from efficiency highlight that these markets are not high in utility, and also show, according to Becker, that there is a notable transfer of wealth occurring. This is not dissimilar from traditional sports betting books like draftkings or sleeper. Therefore, the CFTC ought to classify sports, entertainment, world news, and media categories as forms of gaming. Under the Dodd-Frank act they have the legal jurisdiction to do so in order to prevent a designated contract market from expanding too far beyond the scope of what is utilitarian for the country.

Kalshi's Minimum Age Should be 21

The next point of overview that the government should be involved in is regulating age minimums for Kalshi users. Currently, Kalshi is only required to prevent minors from making bets, but has no legal responsibility to prevent gambling from users between the ages of 18-20^[16]. This is at odds with a number of states, which have individually set age requirements for gambling at 21, and as discussed above, many of Kalshi's markets closely resemble sports gambling or other types of gambling. By existing in a legal grayzone, Kalshi is actively profiting off of harm to our society. Some statistics say that 49% of 17 year olds have gambled in the last year^[17]. Other articles say that sports gambling in particular is drawing in a new range of young, college-educated or in college men that largely were not involved in traditional gambling^[18]. Arguably, Kalshi is allowing underage bettors who are circumventing state laws to turn 18 and immediately legally

start betting on sports, as opposed to waiting till they turn 21 to use other legal sportsbooks. Fanduel and DraftKings require users to be 21 - Kalshi does not^[19]. This glaring hole has not gone unnoticed by major sports organizations. The NBA, PGA tour, and NCAA all sent letters to the CFTC to increase the age of sports betting on Kalshi from 18 to 21. Similarly, our proposal is that all contracts on Kalshi are raised to a minimum age of 21. The maximum utility gained from a prediction market is when the market is used by informed citizens; it is difficult to justify that 18-21 year olds are highly valuable to the utility of a prediction market. Furthermore, with the clear understanding that at the very least some of the markets hosted by Kalshi are not significantly different from the definition of gambling, to allow Kalshi to host contracts for 18 year olds directly contradicts a number of states' own legislation banning gambling under the age of 21. For these reasons, we suggest that all contracts on Kalshi are raised to a minimum age of 21, whether or not sports, entertainment, media, world news, and other sectors are removed from the platform due to lack of utility and inefficiencies.

Kalshi Should be Restricted From Marketing to Underage Users

Our third contention is that Kalshi ought to be banned from marketing and advertising this product to underage citizens of the United States. In this situation, underage means those under the age of 21. The clear line from advertising to youth in order to create profits is stark. Kalshi

advertises across platforms like tiktok and instagram, both of which have a large underage population. 27.6% of users on Instagram alone are between 18-24, and in the US they have more than 181 million users^[20]. 30.7% of tiktok users are between the ages of 18-24^[21]. Many more minors are also using these platforms but go uncounted. Kalshi, using their reach, the legal gray zone they fall under, and the variety of contracts, are able to capture large portions of the population and introduce them to gambling in ways that have never existed before. The societal negatives are very apparent; a fed report suggests that after sports betting was legalized, delinquencies in the newly made sports-betting population rose 10%^[22]. According to another survey, one-quarter of sports bettors have missed a payment due to wagers they made. Another quarter said they worry they can't control their gambling. Couple this with the fact that many underage or young men are increasingly becoming gamblers on these platforms, as well as the fact that problem gamblers are 5 times more likely to be male than female as well as most likely to be aged 25-34^[23], and the clear and direct line between introducing gambling and increases in societal debt and further consequences is clear. Our suggestion for this aspect of Kalshi is to clearly prevent advertising to youth and younger people. We base this off of two previous but similar actions by the government; the handling of underage vape consumption in 2018 as well as the cigarette advertising ban of 1970.

Firstly, legal warnings were used to stop the sale and advertisement of vapes to underage users. In 2018 as the rise of underage vapers became a widespread issue,

the FTC sent warning letters and started to create a plan alongside the FDA to prevent vape manufacturers from advertising to children^[24]. They sent 13 warning letters for selling e-liquids that looked similar to kids food or toys. Similarly, Kalshi uses young actors, funny moments in the world, and other easily digestible themes in their adverts that would make young adults more susceptible to picking up gambling. As the statistics show, young and underage people are becoming more and more likely to be involved in gambling. As gambling leads to debt and other negatives, it is imperative that the country use the same tactics to limit advertising of Kalshi to the youth. Even the NBA recommended that if the CFTC did not institute an age minimum of 21 on sports betting through Kalshi, they should restrict advertising markets to those aged 18 to 21 (19).

Another useful precedent is the Cigarette advertising ban of 1970. In 1970, as public health became a larger concern, President Nixon used the Public Health Cigarette Smoking Act of 1969 to prevent the advertising of cigarettes on television and radio^[25]. This act became the backbone of more stringent bans on advertising down the line. As the well-being of the citizens and youth in America is always important, we recommend a similar course of action banning or restricting the advertising of Kalshi on social media, television, and other platforms.

Alternative Solutions

While our solutions focus on building a strong regulatory framework to

limit the harms of gambling addiction, they are just a few solutions to these problems. Analysis of existing alternatives is important to building a well-rounded viewpoint of tackling these issues.

Starting with the expansion of play limits, a policy seen implemented by the FTC in regard to PredictIt, it functions as a hard limit gamblers can encounter, limiting how much they can spiral into addiction. While it has shown success in markets like PredictIt, it also hampers the benefits that markets bring. As detailed in the Grossman-Stiglitz paradox, markets require enough liquidity to cut through noise, and these caps can cut off the cash “flow” of information that these markets are able to take in^[26]. Investors or funds that have an edge are also discouraged from entering the market, as the return on their information will be capped when compared to other forecasting markets (stocks, commodities, etc.)

A hard cap therefore has its own set of challenges, but a more dynamic approach can resolve this. Having users “unlock” higher limits protects beginners from serious loss, and allows those with an edge to continue contributing to the pool of information. That said, legislating and building the architecture is difficult, but it is an interesting alternative to ponder.

Platforms like Metaculus and Manifold take a different approach, and instead operate their markets with “play” money/reputation points, completely cutting out the risk of financial loss to consumers. By separating harm from the benefits of prediction markets, platforms such as these can act as a safe place for beginner

forecasters to get their bearings without risk. However, these markets do face similar issues to those with limits, mainly a loss of volume and a cap on how much the platform can scale in users. As such, they serve well as education and community platforms, but will never be as effective as real money markets.

Platforms can also take inspiration from traditional sportsbooks and gambling platforms and adopt self-exclusion and opt-out initiatives. These work by allowing a user to request a ban from a platform for a set or indefinite amount of time, allowing an out for those who recognize signs of addiction. This isn’t a complete solution, however, as it doesn’t address root causes of addiction and in a digital age, can be easily circumvented. Rather, it should be considered as part of a larger ecosystem of addiction mitigation strategies. In fact, certain lawmakers have been eyeing opt-out policies, evidenced by their inclusion in the proposed 2026 Prediction Market Act.

These alternative solutions should not be viewed as mutually exclusive to strengthened legislation. Ultimately, the optimal policy framework will likely be a layered combination of these approaches, tailored to the specific type of market and user. However, we argue that the primary focus should be on regulating markets that overlap with sportsbooks and casinos, and protecting the most vulnerable from targeted marketing.

Conclusion

As developments in prediction markets are coming faster than ever, we

must capitalize on the good it can bring, but be wary of the harm it carries as well. As it stands, prediction markets promise to revolutionize the way society garners information and makes decisions. The Grossman-Stiglitz paradox reminds us that markets require sufficient liquidity to function, but the Becker efficiency analysis reveals that not all markets are created equal. Sports, entertainment, and world news markets are significantly less efficient and more closely resemble traditional gambling, offering little informational value while exposing users to significant financial risk.

We must address the growing risk of gambling addiction that continues to grow as markets expand into entertainment sectors. Following our proposed solution, we

strongly urge the CFTC to regulate sports and gambling-adjacent markets using their authority under the Dodd-Frank Act, raise the age of participation, and crack down on targeted marketing towards adolescents. Alternatives such as play-money platforms, self-exclusion policies, and hard position limits offer valuable tools for harm reduction, but they cannot replace a robust, tiered regulatory framework.

The goal is not to eliminate prediction markets, but to ensure they serve their intended purpose, pooling information for the public good, rather than exploiting vulnerable populations for private profit. As Kalshi continues to bring in record-breaking trading volume, we strongly urge the CFTC and legislators to take action.

Footnotes

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